

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ILSE CHAIGNEAU, *Claimant*

v.

TRANSPARENT INTERNATIONAL, *Respondent*.

DOCKET NO. 2059(I)

Served: September 30, 2026

ORDER OF: Jamie L. MENDELSON, *Small Claims Officer*.

ORDER DENYING CLAIMANT’S PETITION FOR RECONSIDERATION¹

I. BACKGROUND

A. Introduction

On May 8, 2026, Claimant filed a small claims complaint (“Claim”) with the Federal Maritime Commission (“FMC” or “Commission”), alleging that Respondent violated the Shipping Act and seeking reparations. On September 4, 2026, an Initial Decision was issued, finding that Respondent violated 46 U.S.C. § 41102(c) and awarding Claimant reparations in the amount of \$2,651.75, plus interest. Specifically, the Initial Decision found that Respondent violated section 41102(c) by engaging in an unreasonable practice of accepting payment for an international shipment of household goods and then failing to ship or deliver the household goods, abandoning the goods in storage with a third-party, and ceasing communication. With respect to reparations, the Initial Decision found that Respondent’s violation proximately caused injury to Claimant in the amount totaling \$21,670.75; however, because Claimant received a settlement in the amount of \$19,019 from the cargo insurance provider that insured the shipment at issue, the Initial Decision applied an offset of that amount. On September 7, 2026, Claimant filed a timely Petition for Reconsideration of Initial Decision (“Petition”), seeking reconsideration of “the calculation of reparations.” (Petition at p. 1). For the reasons set forth in this Order, Claimant’s Petition is denied.

¹ Pursuant to 46 C.F.R. § 502.304(g), the Initial Decision will become final unless the Commission elects to review it within thirty (30) days of service. The filing of a petition for reconsideration shall act as a stay of the review period described in Commission Rule 304(g). 46 C.F.R. § 502.304(h). Upon issuance of a decision or order on reconsideration by the Small Claims Officer, the review period prescribed in Commission Rule 304(g) will recommence. *Id.*

B. Applicable Law

Commission Rule 304 governs petitions for reconsideration of a Small Claims Officer's ("SCOs") decision. 46 C.F.R. § 502.304(h). A petition for reconsideration is directed to the SCO for a decision or order on reconsideration. *Id.* The rule limits the grounds upon which such petitions may be filed and provides that the petition will be summarily rejected unless it:

- (1) specifies that there has been a change in material fact or in applicable law, which change has occurred after issuance of the decision or order;
- (2) identifies a substantive error in material fact contained in the decision or order; [or]
- (3) addresses a material matter in the Small Claims Officer's decision upon which the petitioner has not previously had the opportunity to comment.

Petitions which merely elaborate upon or repeat arguments made prior to the decision or order will not be received.

Id.

C. Claimant's Arguments

Claimant alleges "a substantive error in the treatment of a material fact: the purpose and allocation of the insurance settlement." (Petition at p. 1).

The Initial Decision found that Respondent's Shipping Act violation proximately caused injury to Claimant in the form of \$14,950 that Claimant paid to Respondent for the shipment that Respondent never performed, \$1,716.75 that Claimant paid for cargo insurance, \$5,000 that Claimant paid to obtain the release of the household goods from storage with a local moving company that Respondent hired but never paid, and \$4.00 that Claimant paid to obtain a replacement title for a motorbike,² totaling \$21,670.75. (ID at p. 10; Petition at p. 2). The decision did not award reparations for the additional expense of hiring a different international moving company to ship the household goods because "to award reparations both for the amount Claimant paid to Respondent, and the amount subsequently paid to another international moving company to ship her household goods, would result in a double recovery." (ID at p. 10). The Initial Decision also found that Claimant received a payout of \$19,019 from the cargo insurance provider for the shipment at issue, which reimbursed the storage costs to retrieve the household goods and the shipping costs subsequently paid to a different international moving company to ship the household goods. (ID at p. 7, ¶ 18; Petition at p. 1). The decision applied an offset for the cargo insurance payout in order to avoid "an unanticipated windfall to Claimant, placing Claimant in a better position than she bargained for." (ID at p. 10).

In the Petition, Claimant argues that the cargo insurance settlement did not compensate her for the amount paid to Respondent and thus should not have been applied as an offset to that loss. (Petition at p. 2). Claimant specifically requests "reparations of exactly \$14,950.00,

² As required for transport, Claimant provided Respondent with the original title of the motorbike. (ID at pp. 4-5, ¶ 5).

representing the unreimbursed payment retained by Respondent for transportation that Respondent never performed and never refunded” without any offset of the cargo insurance proceeds. (*Id.* at 3). Claimant contends that such an award would not create a windfall because it “would not reimburse the same expense twice.” (*Id.* at 2).

II. ANALYSIS

Claimant’s Petition does not establish a ground for reconsideration under Rule 304. Claimant frames the Petition as identifying a substantive error in material fact. However, Claimant’s argument does not identify any error in material fact, but rather disagrees with the legal reasoning in applying an offset of the cargo insurance proceeds to prevent a windfall in recovery. Mere disagreement with the legal reasoning does not establish a permissible ground for reconsideration. 46 C.F.R. § 502.304(h).

The underlying basis of Claimant’s argument is that the cargo insurance proceeds reimbursed Claimant for the “later expenses” of rescuing the household goods from storage and hiring a different international mover to ship the household goods, but did not reimburse the amount originally paid to Respondent for the shipment it never performed. Claimant has not identified any error of material fact with respect to this—in fact, Claimant acknowledges that the Initial Decision specifically found that the cargo-insurance claim was approved for “the storage costs with the local moving company and the shipping costs paid to the third-party international moving company.” (Petition at p. 1; ID at p. 7, ¶ 18). Accordingly, Claimant has not identified an erroneous factual finding and the Petition should be summarily rejected. 46 C.F.R. § 502.304(h).

Even in consideration of Claimant’s arguments in the Petition, I find no basis to amend the reparations award. Claimant contends that she suffered losses in two forms: (1) the amount paid to Respondent for the shipment it never performed; and (2) the “later expenses” of rescuing the goods from storage and paying a different company to ship the goods. The Initial Decision, however, found it would be inappropriate to award reparations “both for the amount Claimant paid to Respondent, and the amount subsequently paid to another international moving company to ship her household goods” because it “would result in a double recovery.” (ID at p. 10). Awarding reparations for both would effectively result in Claimant not paying for the ultimate shipment of her household goods. “In other words, by awarding reparations for the amount paid to Respondent and the cost of obtaining the release of her household goods, Claimant is placed back in the position she would have been in had she never entered into a shipping agreement with Respondent.” (*Id.*). Had Claimant never entered into a shipping agreement with Respondent, Claimant still would have to pay another company for the shipment of her household goods, as she ultimately did in this case.

Likewise, Claimant contends that the insurance proceeds should not be applied as an offset to the reparations award because the proceeds were only meant to compensate for the “later expenses,” not for the amount she paid to Respondent. This argument, however, is another way of reaching the end result of Claimant effectively not paying for the shipment of her household goods. The Initial Decision reasoned, “[t]o award reparations without an offset for the cargo insurance payout would result in an unanticipated windfall to Claimant, placing Claimant in a better position than she bargained for.” Stated differently, Claimant bargained to pay for the shipment of her household goods. Offsetting the cargo insurance payout best approximates that

bargain. Claimant was financially harmed by paying Respondent for a shipment it never performed. Between the cargo insurance payout and the reparations award in the Initial Decision, Claimant has been made whole financially.

III. CONCLUSION

Claimant has not established a permissible ground for reconsideration under Rule 304. 46 C.F.R. § 502.304(h). It is therefore **ORDERED** that Claimant's Petition for Reconsideration is **DENIED**.

SO ORDERED

Digitally signed by
Jamie L. Mendelson -S Jamie L. Mendelson -
S

Jamie L. Mendelson
Small Claims Officer